1 Accounting in Action

Learning Objectives

1. Identify the activities and users associated with accounting.
2. Explain the building blocks of accounting: ethics, principles, and assumptions.
3. State the accounting equation, and define its components.
4. Analyze the effects of business transactions on the accounting equation.
5. Describe the four financial statements and how they are prepared.

LEARNING OBJECTIVE 1

Identify the activities and users associated with accounting.

Accounting consists of three basic activities–it

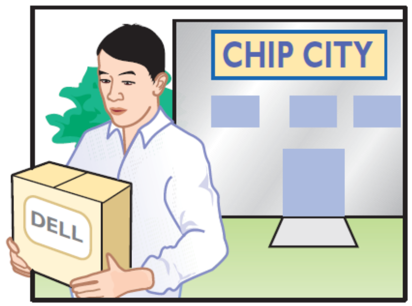
- **identifies**,
- **records**, and
- **communicates**

the economic events of an organization to interested users.

Three Activities

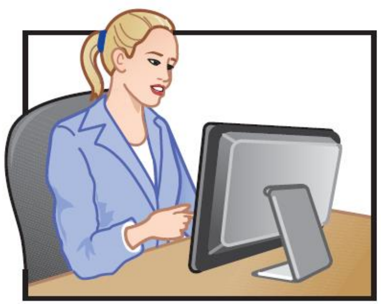
Illustration 1-1
The activities of the accounting process

Identification



Select economic events (transactions)

Recording



Record, classify, and summarize

Communication

Prepare accounting reports

Analyze and interpret for users

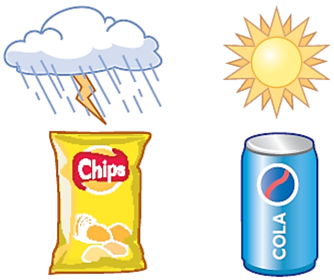
The accounting process includes the **bookkeeping** function.

Who Uses Accounting Data

INTERNAL USERS

Marketing

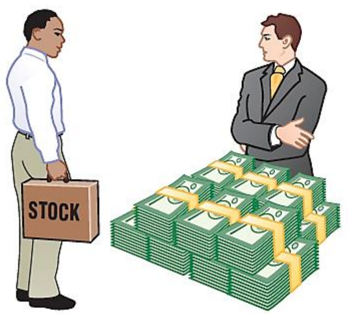
What price should Apple charge for an iPod to maximize the company's net income?



Snack chips Beverages

Management

Which PepsiCo product line is the most profitable? Should any product lines be eliminated?



Finance

Is cash sufficient to pay dividends to Microsoft stockholders?

Human Resources

Can General Motors afford to give its employees pay raises this year?

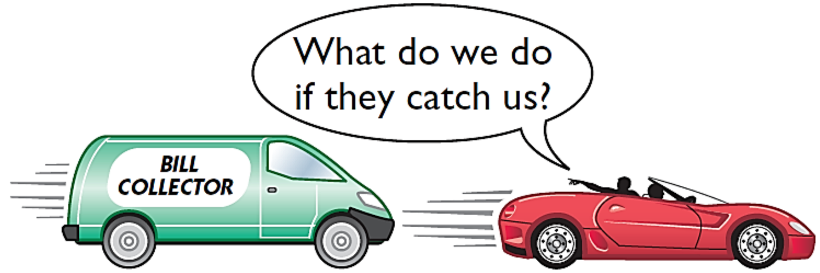
Illustration 1-2
Questions that internal users ask

LO 1

Managerial accounting provides internal reports to help Internal users make decisions about their companies. **Examples** are financial comparisons of operating alternatives, projections of income from new sales campaigns, and forecasts of cash needs for the next year.

Who Uses Accounting Data

EXTERNAL USERS

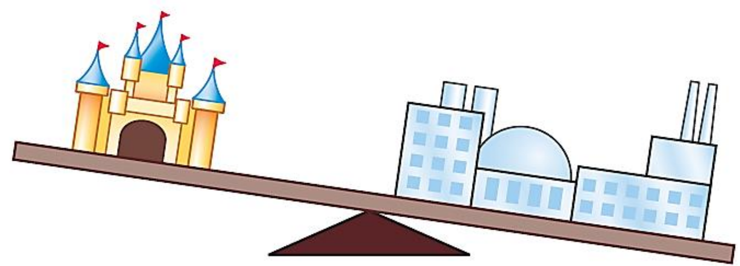


Creditors

Will United Airlines be able to pay its debts as they come due?

Investors

Is General Electric earning satisfactory income?



Investors

How does Disney compare in size and profitability with Time Warner?

Illustration 1-3
Questions that external users ask

Financial accounting provides economic and financial information for investors, creditors, and other external users. The information needs of external users vary considerably.

DO IT! 1 Basic Concepts

Indicate whether the following statements are **true or false**.

1. The three steps in the accounting process are identification, recording, and communication.
2. Bookkeeping encompasses all steps in the accounting process.
3. Accountants prepare, but do not interpret, financial reports.
4. The two most common types of external users are investors and company officers.
5. Managerial accounting activities focus on reports for internal users.

Solution: **1. True** **2. False** **3. False** **4. False** **5. True**

LEARNING OBJECTIVE **2** Explain the building blocks of accounting: ethics, principles, and assumptions.

Ethics in Financial Reporting

Ethics, are the standards of conduct by which actions are judged as right or wrong, honest or dishonest, fair or not fair.

- Recent financial scandals include: **Enron**, **WorldCom**, **HealthSouth**, **AIG**, and other companies.
- Regulators and lawmakers concerned that economy would suffer if investors lost confidence in corporate accounting. In response,
  - Congress passed **Sarbanes-Oxley Act (SOX)**.
- Effective financial reporting depends on sound ethical behavior.

Ethics in Financial Reporting

1. Recognize an ethical situation and the ethical issues involved.

Use your personal ethics to identify ethical situations and issues. Some businesses and professional organizations provide written codes of ethics for guidance in some business situations.

2. Identify and analyze the principal elements in the situation.

Identify the **stakeholders**—persons or groups who may be harmed or benefited. Ask the question: What are the responsibilities and obligations of the parties involved?

3. Identify the alternatives, and weigh the impact of each alternative on various stakeholders.

Select the most ethical alternative, considering all the consequences. Sometimes there will be one right answer. Other situations involve more than one right solution; these situations require an evaluation of each and a selection of the best alternative.

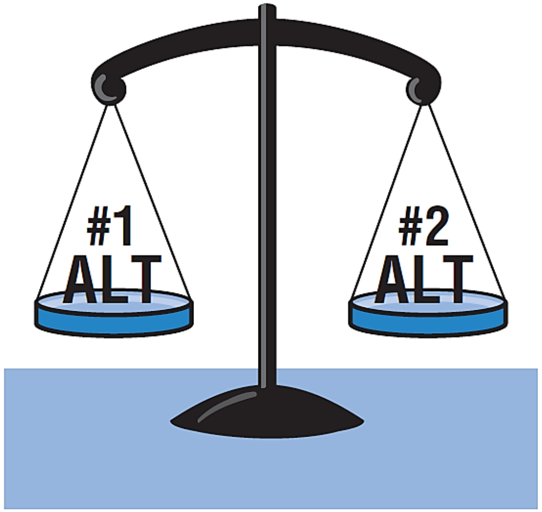


Illustration 1-4
Steps in analyzing ethics cases and situations

LO 2

Ethics in Financial Reporting

Question

Ethics are the standards of conduct by which one's actions are judged as:

a. right or wrong.

b. honest or dishonest.

c. fair or not fair.

d. all of these options.

Generally Accepted Accounting Principles

Various users need financial information

Financial Statements

- Balance Sheet
- Income Statement
- Statement of Owner's Equity
- Statement of Cash Flows
- Note Disclosure

The accounting profession has developed standards that are generally accepted and universally practiced.

Generally Accepted Accounting Principles (GAAP)

Generally Accepted Accounting Principles

Generally Accepted Accounting Principles (GAAP) - Standards that are generally accepted and universally practiced. These standards indicate how to report economic events.

Standard-setting bodies:

- Financial Accounting Standards Board (FASB)
- Securities and Exchange Commission (SEC)
- International Accounting Standards Board (IASB)

International Note

Over 100 countries use International Financial Reporting Standards (called IFRS). For example, all companies in the European Union follow international standards. The differences between U.S. and international standards are not generally significant.

Measurement Principles

HISTORICAL COST PRINCIPLE (or cost principle) dictates that companies record assets at their cost.

FAIR VALUE PRINCIPLE states that assets and liabilities should be reported at fair value (the price received to sell an asset or settle a liability).

Selection of which principle to follow generally relates to trade-offs between **relevance** and **faithful representation**.

Helpful Hint
Relevance and *faithful representation* are two primary qualities that make accounting information useful for decision-making.

Assumptions

MONETARY UNIT ASSUMPTION requires that companies include in the accounting records only transaction data that can be expressed in terms of money.

ECONOMIC ENTITY ASSUMPTION requires that activities of the entity be kept separate and distinct from the activities of its owner and all other economic entities.

- Proprietorship
- Partnership
- Corporation

Forms of Business Ownership

Forms of Business Ownership

Proprietorship

- Owned by one person
- Owner is often manager/operator
- Owner receives any profits, suffers any losses, and is personally liable for all debts

Partnership

- Owned by two or more persons
- Often retail and service-type businesses
- Generally unlimited personal liability
- Partnership agreement

Corporation

- Ownership divided into shares of stock
- Separate legal entity organized under state corporation law
- Limited liability

Assumptions

Question

Combining the activities of Kellogg and General Mills would violate the

a. cost principle.

b. economic entity assumption.

c. monetary unit assumption.

d. ethics principle.

Assumptions

Question

A business organized as a separate legal entity under state law having ownership divided into shares of stock is a

a. proprietorship.

b. partnership.

c. corporation.

d. sole proprietorship.

DO IT! 2 Building Blocks of Accounting

Indicate whether each of the following statements presented below is true or false.

1. Congress passed the Sarbanes-Oxley Act to reduce unethical behavior and decrease the likelihood of future corporate scandals.

   True

2. The primary accounting standard-setting body in the United States is the Financial Accounting Standards Board (FASB).

   True

3. The historical cost principle dictates that companies record assets at their cost. In later periods, however, the fair value of the asset must be used if fair value is higher than its cost.

   False

DO IT! 2 Building Blocks of Accounting

Indicate whether each of the following statements presented below is true or false.

4. Relevance means that financial information matches what really happened; the information is factual.

   False

5. A business owner's personal expenses must be separated from expenses of the business to comply with accounting's economic entity assumption.

   True

LEARNING OBJECTIVE 3

State the accounting equation, and define its components.

Assets = **Liabilities** + **Owner's Equity**

Basic Accounting Equation

- Provides the **underlying framework** for recording and summarizing economic events.
- Assets are claimed by either creditors or owners.
- If a business is liquidated, claims of creditors must be paid before ownership claims.

Basic Accounting Equation

Assets	=	Liabilities	+	Owner's Equity

Assets

- Resources a business owns.
- Provide future services or benefits.
- A resource controlled by the entity as a result of past events and from which future economic benefits are expected to flow to the entity.
- Cash, Supplies, Equipment, etc.

Basic Accounting Equation

Assets	=	Liabilities	+	Owner's Equity

Liabilities

- Claims against assets (debts and obligations).
- Creditors (party to whom money is owed).
- Accounts Payable, Notes Payable, Salaries and Wages Payable, etc.

Basic Accounting Equation

Assets	=	Liabilities	+	Owner's Equity

Owner's Equity

- Ownership claim on total assets.
- Referred to as residual equity.
- Investment by owners and revenues (+)
- Drawings and expenses (-).

Owner's Equity

Illustration 1-6
Expanded accounting equation

Basic Equation	Assets = Liabilities	+	Owner's Equity						
Expanded Equation	Assets = Liabilities	+	Owner's Capital	−	Owner's Drawings	+	Revenues	−	Expenses

Increases in Owner's Equity

- **Investments by owner** are the assets the owner puts into the business.
- **Revenues** result from business activities entered into for the purpose of earning income.
  - **Common sources of revenue** are: sales, fees, services, commissions, interest, dividends, royalties, and rent.

Owner's Equity

Illustration 1-6
Expanded accounting equation

Basic Equation	Assets = Liabilities + Owner's Equity
Expanded Equation	Assets = Liabilities + Owner's Capital − Owner's Drawings + Revenues − Expenses

Decreases in Owner's Equity

- **Drawings** An owner may withdraw cash or other assets for personal use.
- **Expenses** are the cost of assets consumed or services used in the process of earning revenue.
  - **Common expenses** are: salaries expense, rent expense, utilities expense, tax expense, etc.

DO IT! 3 Owner's Equity Effects

Classify the following items as investment by owner, owner's drawings, revenue, or expenses. Then indicate whether each item increases or decreases owner's equity.

	Classification	Effect on Equity
1. Rent Expense		
2. Service Revenue		
3. Drawings		
4. Salaries and Wages Expense		

LEARNING OBJECTIVE 4

Analyze the effects of business transactions on the accounting equation.

Transactions are a business's economic events recorded by accountants.

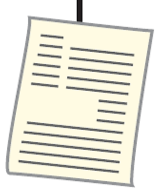
- May be **external** or **internal**.
- Not all activities represent transactions.
- Each transaction has a dual effect on the accounting equation.

Transaction Analysis

Illustration: Are the following events recorded in the accounting records?

Illustration 1-7

Event	Purchase computer	Discuss product design with potential customer	Pay rent
Criterion	Is the financial position (assets, liabilities, or owner's equity) of the company changed?		
Record/ Don't Record	Yes	No	Yes



LO 4

Transaction Analysis

TRANSACTION 1. INVESTMENT BY OWNER Ray Neal decides to start a smartphone app development company which he names Softbyte. On September 1, 2017, he invests **$15,000 cash** in the business. This transaction results in an equal increase in assets and owner's equity.

	Assets							= Liabilities +		Owner's Equity							
Trans-action	Cash	+	Accounts Receivable	+	Supplies	+	Equipment	=	Accounts Payable	+	Owner's Capital	-	Owner's Drawings	+	Rev.	-	Exp.
1.	+15,000										+15,000						

Illustration 1-8
Tabular summary of
Softbyte transactions

TRANSACTION 2. PURCHASE OF EQUIPMENT FOR CASH Softbyte Inc. purchases computer equipment for **$7,000 cash**.

Illustration 1-8

	Assets							= Liabilities +		Owner's Equity						
Trans-action	Cash	+	Accounts Receivable	+	Supplies	+	Equipment	=	Accounts Payable	+	Owner's Capital	-	Owner's Drawings	+	Rev.	- Exp.
1.	+15,000										+15,000					
2.	-7,000						+7,000									

TRANSACTION 3. PURCHASE OF SUPPLIES ON CREDIT Softbyte Inc. **purchases for $1,600** headsets and other accessories expected to last several months. The supplier allows Softbyte to pay this bill in October.

Illustration 1-8

	Assets				= Liabilities +	Owner's Equity			
Transaction	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Rev.	- Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				

TRANSACTION 4. SERVICES PERFORMED FOR CASH Softbyte Inc. receives **$1,200 cash** from customers for app development services it has performed.

Illustration 1-8

	Assets				= Liabilities +	Owner's Equity			
Trans-action	Cash +	Accounts Receivable +	Supplies +	Equipment =	Accounts Payable +	Owner's Capital -	Owner's Drawings +	Rev. -	Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				
4.	+1,200							+1,200	

TRANSACTION 5. PURCHASE OF ADVERTISING ON CREDIT Softbyte Inc. receives a **bill for $250** from the *Daily News* for advertising on its online website but postpones payment until a later date.

Illustration 1-8

	Assets							= Liabilities +		Owner's Equity							
Trans-action	Cash	+	Accounts Receivable	+	Supplies	+	Equipment	=	Accounts Payable	+	Owner's Capital	-	Owner's Drawings	+	Rev.	-	Exp.
1.	+15,000										+15,000						
2.	-7,000						+7,000										
3.					+1,600				+1,600								
4.	+1,200														+1,200		
5.									+250								-250

TRANSACTION 6. SERVICES PERFORMED FOR CASH AND CREDIT.

Softbyte performs **$3,500 of services**. The company receives **cash of $1,500** from customers, and it bills the balance of **$2,000 on account**.

Illustration 1-8

	Assets							= Liabilities +		Owner's Equity						
Trans-action	Cash	+	Accounts Receivable	+	Supplies	+	Equipment	=	Accounts Payable	+	Owner's Capital	-	Owner's Drawings	+	Rev.	-	Exp.
1.	+15,000										+15,000						
2.	-7,000						+7,000										
3.					+1,600				+1,600								
4.	+1,200														+1,200		
5.									+250								-250
6.	+1,500		+2,000												+3,500		

TRANSACTION 7. PAYMENT OF EXPENSES Softbyte Inc. pays the following expenses in cash for September: office rent **$600**, salaries and wages of employees **$900**, and utilities **$200**.

Illustration 1-8

	Assets				= Liabilities +	Owner's Equity			
Trans-action	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Rev.	- Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				
4.	+1,200							+1,200	
5.					+250				-250
6.	+1,500	+2,000						+3,500	
7.	-1,700								-600
									-900
									-200

LO 4

TRANSACTION 8. PAYMENT OF ACCOUNTS PAYABLE Softbyte Inc. **pays its $250** *Daily News* bill in cash. The company previously (in Transaction 5) recorded the bill as an increase in Accounts Payable.

Illustration 1-8

Transaction	Assets: Cash	+	Accounts Receivable	+	Supplies	+	Equipment	=	Liabilities: Accounts Payable	+	Owner's Equity: Owner's Capital	-	Owner's Drawings	+	Rev.	-	Exp.
1.	+15,000										+15,000						
2.	-7,000						+7,000										
3.					+1,600				+1,600								
4.	+1,200														+1,200		
5.									+250								-250
6.	+1,500		+2,000												+3,500		
7.	-1,700																-600 -900 -200
8.	-250								-250								

TRANSACTION 9. RECEIPT OF CASH ON ACCOUNT Softbyte Inc. **receives $600 in cash** from customers who had been billed for services (in Transaction 6).

Illustration 1-8

	Assets				= Liabilities +	Owner's Equity			
Trans-action	Cash +	Accounts Receivable +	Supplies +	Equipment =	Accounts Payable +	Owner's Capital -	Owner's Drawings +	Rev. -	Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				
4.	+1,200							+1,200	
5.					+250				-250
6.	+1,500	+2,000						+3,500	
7.	-1,700								-600 -900 -200
8.	-250				-250				
9.	+600	-600							

TRANSACTION 10. WITHDRAWAL OF CASH BY OWNER Ray Neal withdraws **$1,300 in cash** in cash from the business for his personal use.

Illustration 1-8

	Assets				= Liabilities +	Owner's Equity			
Trans-action	Cash	+ Accounts Receivable	+ Supplies	+ Equipment	= Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Rev.	- Exp.
1.	+15,000					+15,000			
2.	-7,000			+7,000					
3.			+1,600		+1,600				
4.	+1,200							+1,200	
5.					+250				-250
6.	+1,500	+2,000						+3,500	
7.	-1,700								-600
									-900
									-200
8.	-250				-250				
9.	+600	-600							
10.	-1,300						-1,300		

$18,050 $18,050

Summary of Transactions

1. Each transaction is analyzed in terms of its effect on:
   a. The three components of the basic accounting equation.
   b. Specific of items within each component.
2. The two sides of the equation must always be equal.

DO IT! 4 Tabular Analysis

Transactions made by Virmari & Co., a public accounting firm, for the month of August are shown below. Prepare a tabular analysis which shows the effects of these transactions on the expanded accounting equation, similar to that shown in Illustration 1-8.

1. The owner invested $25,000 cash in the business.
2. The company purchased $7,000 of office equipment on credit.
3. The company received $8,000 cash in exchange for services performed.
4. The company paid $850 for this month's rent.
5. The owner withdrew $1,000 cash for personal use.

DO IT! 4 Tabular Analysis

1. The owner invested $25,000 cash in the business.

	Assets		=	Liabilities +		Owner's Equity		
Trans-action	Cash	+ Equipment	=	Accounts Payable	+ Owner's Capital	- Owner's Drawings	+ Rev.	- Exp.
1.	+25,000				+25,000			

DO IT! 4 Tabular Analysis

2. The company purchased $7,000 of office equipment on credit.

	Assets			=	Liabilities +		Owner's Equity						
Trans-action	Cash	+	Equipment	=	Accounts Payable	+	Owner's Capital	-	Owner's Drawings	+	Rev.	-	Exp.
1.	+25,000						+25,000						
2.			+7,000		+7,000								

DO IT! 4 Tabular Analysis

3. The company received $8,000 cash in exchange for services performed.

	Assets			=	Liabilities +		Owner's Equity						
Trans-action	Cash	+	Equipment	=	Accounts Payable	+	Owner's Capital	-	Owner's Drawings	+	Rev.	-	Exp.
1.	+25,000						+25,000						
2.			+7,000		+7,000								
3.	+8,000										+8,000		

DO IT! 4 Tabular Analysis

4. The company paid $850 for this month's rent.

Transaction	Assets		=	Liabilities +	Owner's Equity			
	Cash +	Equipment	=	Accounts Payable +	Owner's Capital -	Owner's Drawings +	Rev. -	Exp.
1.	+25,000				+25,000			
2.		+7,000		+7,000				
3.	+8,000						+8,000	
4.	-850							-850

DO IT! 4 Tabular Analysis

5. The owner withdrew $1,000 cash for personal use.

	Assets			=	Liabilities +		Owner's Equity						
Trans-action	Cash	+	Equipment	=	Accounts Payable	+	Owner's Capital	-	Owner's Drawings	+	Rev.	-	Exp.
1.	+25,000						+25,000						
2.			+7,000		+7,000								
3.	+8,000										+8,000		
4.	-850												-850
5.	-1,000								-1,000				
	$31,150	+	$7,000	=	$7,000	+	$25,000	-	$1,000	+	$8,000	-	$850

$38,150

$38,150

LEARNING OBJECTIVE 5

Describe the four financial statements and how they are prepared.

Companies prepare four financial statements :

- Income Statement
- Owner's Equity Statement
- Balance Sheet
- Statement of Cash Flows

Financial Statements

Question

Net income will result during a time period when:

a. assets exceed liabilities.

b. assets exceed revenues.

c. expenses exceed revenues.

d. revenues exceed expenses.

Financial Statements

Net income is needed to determine the ending balance in owner's equity.

SOFTBYTE
Income Statement
For the Month Ended September 30, 2017

Revenues		
Service revenue		$ 4,700
Expenses		
Salaries and wages expense	$900	
Rent expense	600	
Advertising expense	250	
Utilities expense	200	
Total expenses		1,950
Net income		**$ 2,750**

1

SOFTBYTE
Owner's Equity Statement
For the Month Ended September 30, 2017

Owner's capital, September 1		$ –0–
Add: Investments	$15,000	
Net income	**2,750**	17,750
		17,750
Less: Drawings		1,300
Owner's capital, September 30		**$16,450**

Illustration 1-9
Financial statements and their interrelationships

SOFTBYTE
Owner's Equity Statement
For the Month Ended September 30, 2017

Owner's capital, September 1		$ –0–
Add: Investments	$15,000	
Net income	**2,750**	17,750
		17,750
Less: Drawings		1,300
Owner's capital, September 30		**$16,450**

SOFTBYTE
Balance Sheet
September 30, 2017

Assets	
Cash	**$ 8,050**
Accounts receivable	1,400
Supplies	1,600
Equipment	7,000
Total assets	$ 18,050
Liabilities and Owner's Equity	
Liabilities	
Accounts payable	$ 1,600
Owner's equity	
Owner's capital	**16,450**
Total liabilities and owner's equity	$ 18,050

1

2

The ending balance in owner's equity is needed in preparing the balance sheet.

Illustration 1-9
Financial statements and their interrelationships

Financial Statements

Balance sheet and income statement are needed to prepare statement of cash flows.

SOFTBYTE
Balance Sheet
September 30, 2017

Assets

Cash	$ 8,050
Accounts receivable	1,400
Supplies	1,600
Equipment	7,000
Total assets	$ 18,050

Liabilities and Owner's Equity

Liabilities	
Accounts payable	$ 1,600
Owner's equity	
Owner's capital	16,450
Total liabilities and owner's equity	$ 18,050

2

SOFTBYTE
Statement of Cash Flows
For the Month Ended September 30, 2017

3

Cash flows from operating activities		
Cash receipts from revenues		$ 3,300
Cash payments for expenses		(1,950)
Net cash provided by operating activities		1,350
Cash flows from investing activities		
Purchase of equipment		(7,000)
Cash flows from financing activities		
Investments by owner	$15,000	
Drawings by owner	(1,300)	13,700
Net increase in cash		8,050
Cash at the beginning of the period		0
Cash at the end of the period		$ 8,050

Illustration 1-9
Financial statements and their interrelationships

Income Statement

- Reports the revenues and expenses for a specific period of time.
- Lists revenues first, followed by expenses.
- Shows net income (or net loss).
- Does not include investment and withdrawal transactions between the owner and the business in measuring net income.

Alternative Terminology
The income statement is sometimes referred to as the *statement of operations, earnings statement,* or *profit and loss statement.*

Owner's Equity Statement

- Reports the changes in owner's equity for a specific period of time.
- The time period is the same as that covered by the income statement.

Balance Sheet

- Reports the assets, liabilities, and owner's equity at a specific date.
- Lists assets at the top, followed by liabilities and owner’s equity.
- Total assets must equal total liabilities and owner's equity.
- Is a snapshot of the company’s financial condition at a specific moment in time (usually the month-end or year-end).

Statement of Cash Flows

- Information on the cash receipts and payments for a specific period of time.
- Answers the following:
  - Where did cash come from?
  - What was cash used for?
  - What was the change in the cash balance?

Financial Statements

Question

Which of the following financial statements is prepared as of a specific date?

a. Balance sheet.

b. Income statement.

c. Owner's equity statement.

d. Statement of cash flows.

Chapter Assignment

1. BE1-1
2. BE1-5
3. BE1-8
4. BE1-11
5. E1-2 (A)
6. P1-1A (A)